

Shriram Finance Ltd (SHRIRAMFIN)

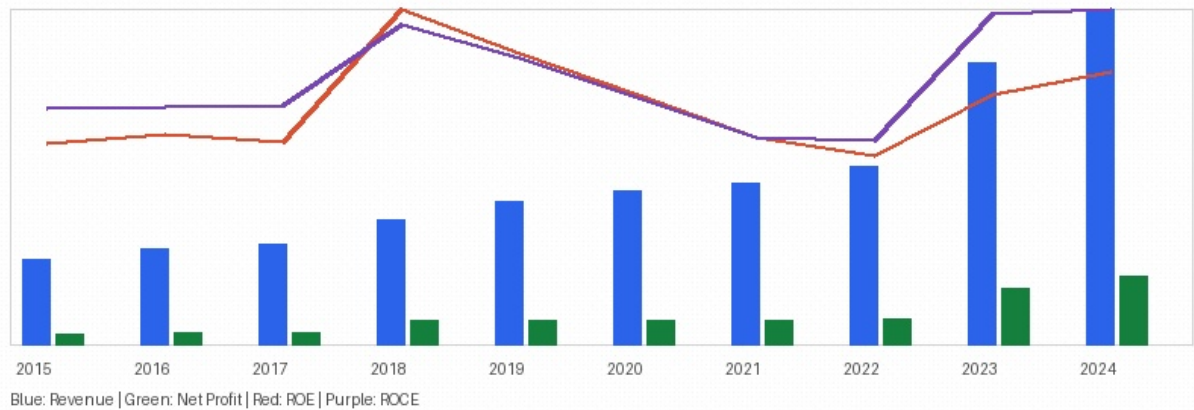
ROE 15.12%	ROCE 4.32%	NPM 20.33%
D/E 3.99	Revenue CAGR 18.56%	FCF -31,359.00

Sector: Financial Services | **Sub-sector:** Financial Services

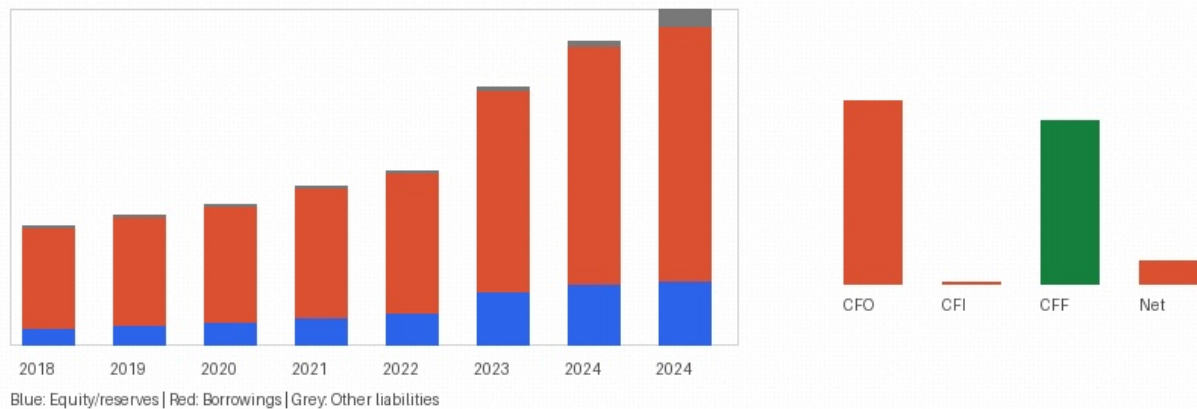
SIMULATED: stock_prices and market_cap datasets are simulated where used for valuation or price context.

Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Revenue growing at above 15% CAGR over 5 years reflects strong business momentum	Debt-to-equity ratio of 3.99 is elevated for a non-financial company and warrants monitoring
Operating profit margin above 25% indicates strong pricing power and cost discipline	Free cash flow negative for 3 consecutive years raises concern about cash generation quality
Net profit compounding at above 20% over 5 years creates significant shareholder value	Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
Revenue growing slower than profits shows improving operating leverage and scale benefits	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt